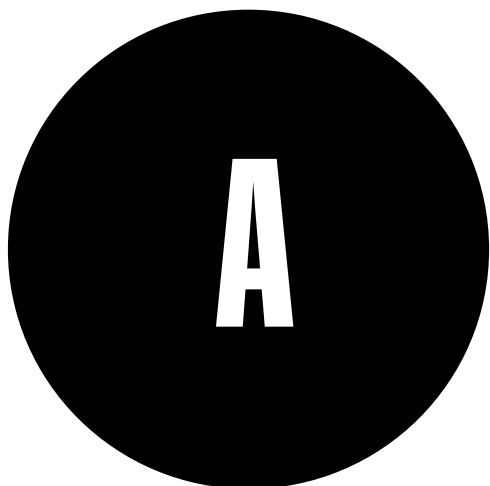




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A FEW YEARS ago, the CEO of a multinational company (MNC) flew down to experience India's 'friendly' business climate. The honcho ended up standing for hours at the jam-packed immigration desk at the airport. Some months later, when the CEO visited Vietnam, another competing destination for foreign investors, the President of the South-East Asian country rushed to the airport to welcome him. These are small, soft things; yet they matter. Things seem to be changing after Invest India, the country's investment promotion agency (IPA) which is a one-stop shop for foreign investors, was set up and empowered. Recently, the Invest India team went to receive a global CEO where the aircraft touched down.

It's another story that the team had to speak to multiple departments to get clearances. "Costs are similar worldwide, [but] the investment decision in any country also depends on softer issues," says Deepak Bagla, MD & CEO of Invest India, sitting in his first-floor office at Delhi's Vigyan Bhawan. This quasi-government organisation, nestled in Delhi's posh Lutyens area, is fast emerging as the biggest driver for foreign investment. "We are good at joining the dots in a jigsaw puzzle,"

says Bagla, who knows a thing or two about investors' psyche, having worked for marquee names like the World Bank and Citibank.

India had record FDI inflows of \$84.83 billion in FY22 (3.5 per cent higher than in FY21), despite the Covid-19 outbreak. Although China receives more than \$180 billion annually, India's current FDI run rate has more than doubled compared to a decade ago. "In the last few years, Invest India alone has been instrumental in getting investments worth ₹3 lakh crore (\$33 billion) and is now working on getting in a total of ₹16 lakh crore (\$196 billion) worth of investment. We have helped create 450,000 jobs, supported 81,000-plus start-ups, solved 300,000-plus queries from 174 countries, and facilitated 1,323 investment projects," rattles off Priya Rawat, Invest India's COO.

This activity was propelled by the government under Prime Minister Narendra Modi. A year after taking over as PM, Modi had famously said: "The industry of red tape thrives on doubt, while the road with a red carpet is built on trust." In a sense, Invest India is Modi's very own unicorn. "To change red tape into red carpet, to hand-hold investors, to ease the investor journey, to facilitate invest-

ment and to be a one-stop shop, Invest India has done an excellent job towards the Hon'ble PM's vision of making India the most preferred investment destination in the world," says A.K. Sharma, who had worked closely with Modi in Gujarat (when Modi was chief minister between 2001 and 2014) and is currently Energy Minister in the Uttar Pradesh government.

FDI inflows exceeded \$22 billion in Q1FY23, which, at the present rate, would bring the year's total to \$90 billion. When Invest India won the 2020 UN Investment Promotion Award, Modi wrote, "Over the last few years, India has received record FDI and created millions of jobs. It is in this journey that Invest India, the start-up of the Government of India, has played a crucial role in unleashing the country's talent, creativity, and zeal."

A recent EY-CII report talks about India's potential to attract FDI inflows of \$475 billion in the next five years. What's making investors line up is a clear road map of India's ambitions. "The Indian economy will reach tenfold in the next 25 years, by 2047. With political stability, high competitiveness, collective efforts and a developing economic system, India will become an economic force in the world to reckon with," Union Commerce and Industry Minister Piyush Goyal said at the Indian Institute of Foreign Trade in Andhra Pradesh recently. Around a month ago, India displaced the UK as the world's fifth-largest economy. The timely production-linked incentive (PLI) scheme with an outlay of ₹2 lakh crore (\$24.30 billion) in sectors like consumer electronics, auto, and pharma is attracting global multinationals like Dell, Dixon, Foxconn and Flex, among